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Nicaragua

Oilseeds and Products Annual

Peanut Production Down 14 Percent in MY 2018/2019

Approved By:

Julie Morin

Prepared By:

Jimmy Bolaños

Report Highlights:

Peanut production fell 14 percent in marketing year (MY) 2018/2019. The decrease in production was driven by an extended dry spell that negatively affected yields. Yields dropped 11 percent from 4.5 metric tons (MT) per hectare to 4 MT. The peanut industry expects planted area to remain unchanged in MY 2019/2020 but there are internal factors such as limited access to finance because of Nicaragua's social political crisis that could significantly reduce planting intentions. Independent analysts estimate that production of many agricultural crops, including peanuts, could fall by up to 30 percent due to banks scaling back their loans to farmers.

Commodities:

Oilseed, Peanut

Oil, Peanut

Production:

Nicaraguan peanut production reached 176,000 MT in MY 2018/2019, down 14 percent from the previous period. The decrease in production was driven by an extended dry spell that negatively impacted yields. Yields dropped 11 percent from 4.5 metric tons (MT) per hectare to 4 MT.

Peanut oil production remained stable at 20,000 MT in MY 2018/2019. The peanut industry expects planted area to remain unchanged in MY 2019/2020 but there are internal factors such as limited access to finance because of Nicaragua's social political crisis that could significantly reduce planting intentions. Independent analysts estimate that production of many agricultural crops, including peanuts, could fall by up to 30 percent due to banks scaling back their loans to farmers.

Planted Area

In MY 2018/2019, planted area totaled 44,000 hectares, similar to last year. About 90 percent of peanut cultivation is concentrated in the northwest region of the country - in Leon and Chinandega. The other 10 percent takes place in the southwest region of the country. The peanut industry does not forecast an expansion on planted area in the future since the suitable lands for peanut production are limited and there is competition with sugar cane farmers. For MY 2019/2020, FAS anticipates a fall of 20 percent on planted area due to the limited access to finance.

Consumption:

Less than one percent of the total peanut production stays in the domestic market. Nicaraguans do not have the habit of consuming peanuts or peanut oil, which is considered of very high quality and is more expensive than other oils available in the domestic market.

Trade:

In calendar year 2018 (CY 2018), Nicaraguan peanut exports totaled 95,514 MT, a five percent increase compared to the previous year due to a larger crop in MY 2017/2018 (up 9 percent from 2016/2017).

The main export destinations in 2018 were the United Kingdom, Mexico, and El Salvador.

Peanut Exports in CY 2018 (In Metric Tons)

Country	MT
United Kingdom	26,808
Mexico	23,399
El Salvador	7,950
Russia	5,166
Guatemala	5,020
Colombia	4,511
Holland	3,702
Costa Rica	3,327

Others	15,631
Total	95,514

Source: Nicaraguan Central Bank.

Stocks:

Shellers do not keep large stocks of peanuts. Their plan is to export all the peanuts produced within the market year.

Policy:

The Government of Nicaragua does not provide any subsidies to peanut production. All the investments in the peanut industry come from the private sector.

Marketing:

Nicaragua exports more than 99 percent of the total peanut production. Throughout the years, Nicaraguan exporters have diversify their export markets. In 2018, Nicaragua exported peanuts to over thirty countries.

Production, Supply and Demand Data Statistics:

Oilseed, Peanut Market Begin Year	2017/2018		2018/2019		2019/2020	
	Aug 2017		Aug 2018		Aug 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Nicaragua						
Area Planted	41	45	42	44	0	35
Area Harvested	41	45	41	44	0	35
Beginning Stocks	30	30	9	8	0	0
Production	182	205	182	176	0	157
MY Imports	1	0	1	0	0	0
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	213	235	192	184	0	157
MY Exports	131	157	125	124	0	104
MY Exp. to EU	20	70	20	62	0	50
Crush	65	70	55	60	0	53
Food Use Dom. Cons.	6	0	6	0	0	0
Feed Waste Dom. Cons.	2	0	2	0	0	0
Total Dom. Cons.	73	70	63	60	0	53
Ending Stocks	9	8	4	0	0	0
Total Distribution	213	235	192	184	0	157
CY Imports	1	0	1	0	0	0
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	129	0	124	0	0	0
CY Exp. to U.S.	0	0	0	0	0	0

Yield	4.439	4.5556	4.439	4	0	4.4857

(1000 HA) ,(1000 MT) ,(MT/HA)

Oil, Peanut Market Begin Year Nicaragua	2017/2018		2018/2019		2019/2020	
	May 2018		May 2018		May 2020	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	65	70	55	60	0	53
Extr. Rate, 999.9999	0.3385	0.3143	0.3273	0.3333	0	0.3396
Beginning Stocks	3	3	1	0	0	0
Production	22	22	18	20	0	18
MY Imports	0	0	0	0	0	0
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	25	25	19	20	0	18
MY Exports	19	25	15	20	0	18
MY Exp. to EU	7	0	6	0	0	0
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	5	0	4	0	0	0
Feed Waste Dom. Cons.	0	0	0	0	0	0
Total Dom. Cons.	5	0	4	0	0	0
Ending Stocks	1	0	0	0	0	0
Total Distribution	25	25	19	20	0	18

(1000 MT) ,(PERCENT)